

Employment Preferences of Favela Residents

Mayara Felix, Beatriz Marcoje, Ieda Matavelli, and Maria Clara Rodrigues*

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Abstract

We document employment preferences of workers at the margin of informality using open-ended questions and discrete choice experiments in Brazil's largest favela complex. Stated preferences emphasize pay and tangible job attributes rather than meaning or purpose. Stated complaints center on management, customers, and inflexible schedules. Workers exhibit high willingness to pay for unemployment insurance, parental leave, and learning opportunities, but none for termination notice or shorter commutes. We find larger willingness to accept to forgo amenities than willingness to pay to obtain them, consistent with preference-based sorting or endowment effects.

*Felix: Yale University and NBER (mayara.felix@yale.edu); Marcoje: Universidade Federal Fluminense (beatrizmarcoje@gmail.com); Matavelli: CERGE-EI and University of New South Wales (iedarmatavelli@gmail.com); Rodrigues: Yale University (mariaclara.rodriguesdasilva@yale.edu). We thank Nick Swanson for an invaluable discussion at the ASSA 2026, and Seth Blumberg, Elisa Macchi, Garima Sharma, Gabriel Ulyssea, and audience members at LACEA 2025 and ASSA 2026 for valuable feedback. We thank Yale's Economic Growth Center for institutional and financial support.

1 Introduction

What do workers at the margin of informality value at work? We answer this question using novel survey data on employment preferences among residents of Brazil’s largest *favela* complex. Recent work shows that workers value job amenities beyond wages, including meaning and purpose (Ashraf et al., 2025) and scheduling flexibility (Mas and Pallais, 2017), but this evidence is predominantly from developed countries. Models of informality emphasize compensating differentials between formal and informal employment (Meghir, Narita and Robin, 2015; Haanwinckel and Soares, 2021), but direct evidence on what workers at the margin of informality value is scarce. We combine open-ended questions with discrete choice experiments to estimate willingness to pay for job amenities of formal employment (i.e., unemployment insurance, parental leave, and termination notice) and for highly ranked amenities not specific to formal employment (i.e., learning opportunities and commute time).

We report four findings. First, open-text responses suggest that workers value formal employment benefits, flexibility and learning opportunities. Second, workers’ primary complaints about current or past jobs center on poor management, difficult customers, and inflexible schedules. Third, discrete choice experiments reveal high willingness to pay for some attributes (i.e., unemployment insurance, parental leave, and learning opportunities), and none for others (i.e., termination notice and short commutes). Fourth, we find larger willingness to accept to forgo amenities than willingness to pay to obtain them, consistent with either endowment effects or with sorting into jobs based on preferences.

These findings suggest that pay and other tangible job amenities drive labor supply decisions for workers at the margin of informality. Large gaps between willingness to accept and to pay for formal sector amenities warrant further research into the role of sorting and endowment effects in explaining labor market equilibria characteristic of developing countries, where large informal sectors co-exist with formal firms that command substantial wage-setting power (Ulyssea, 2020; Felix, 2026; Amodio, Medina and Morlacco, 2025; Amodio et al., 2025; Sharma, 2025).

2 Context and Research Design

Labor markets in Brazil. Substantial informality characterizes the Brazilian labor market: 38% of workers are in the informal sector (IBGE, 2025). Formal employment in Brazil requires a signed work card (*carteira de trabalho*) that registers a worker’s employment history and guarantees access to labor rights (Ulyssea, 2018). These rights include paid vacation, a thirteenth salary (annual bonus), severance protection, social security contributions toward retirement, and regulated working hours. Workers without a signed *carteira* operate as informal workers and lack these protections. However, informal employment typically offers greater flexibility in schedule and hours.

Favelas in Rio de Janeiro. Brazilian favelas are urban neighborhoods of dense informal settlements, home to around 1.5 million people in Rio de Janeiro alone. Using data from the 2010 Brazilian Census, Table A.1 shows that favela residents are less likely to be literate (84% vs. 92%), less likely to self-identify as

white (33% vs. 57%), and have substantially lower per capita incomes (R383 vs. R1,376) than residents of non-favela areas. Our study took place in *Complexo da Maré*, Brazil’s largest favela complex and home to 130,000 people. Table A.1 shows that Maré’s characteristics align closely with other favelas in Rio, suggesting that our findings can be generalized to similar contexts.¹

Sample. We surveyed 700 Maré residents aged 18-30 who are working or actively seeking employment. We recruited participants through door-to-door household surveys, visiting all households building-by-building during weekday evenings and weekend afternoons. We collected responses from one eligible individual per household across three collection waves between September and November 2025. Table A.2 presents summary statistics for our sample. Among respondents, 76% are female with an average age of 24. The majority (75%) identify as Black or mixed-race, and 74% were born in Maré. Over half (56%) have children, and 19% receive the cash transfer program *Bolsa Família*. Regarding employment, 61% are currently employed, with formal sector workers comprising 29% of the sample and informal sector workers comprising 18%; 14% are self-employed. The remaining 39% are unemployed. About half (52%) are actively searching for jobs. Average monthly wages among those with work experience are R\$1,574, close to the R\$1,606 reservation wage among those who have never worked.

Open-ended questions. Following a growing economics literature, we elicit what is top of mind for workers by asking open-ended questions about employment preferences (Haaland et al., 2024). This method avoids leading participants toward answers based on researcher-determined categories. We instructed surveyors not to provide specific examples and to write down participants’ answers as closely as possible to what they actually said. We present data from three open-ended questions: (i) *Dream job*: “What would your dream job have or offer you? Tell us some characteristics your dream job would have.”, (ii) *Value in job*: “Besides salary, what else do you look for in a job?”, (iii) *Dislike in job*: “What do you like least in your current [last] job?” We analyze these open-text responses in two complementary ways. First, we present word clouds that display the most frequently mentioned terms after excluding common words such as connectors and articles to provide an overview of the raw data. Second, we systematically code all responses into non-mutually exclusive categories through qualitative analysis. Online Appendix C provides details on our coding process.

Discrete choice experiments. To estimate the willingness to pay for different job amenities, respondents completed five choice tasks involving benefits specific to formal employment in Brazil (unemployment insurance, parental leave, and termination notice), as well as attributes that are not specific to formal employment (learning opportunities and commute time). We randomized question order to address potential anchoring effects. To ensure that job options were realistic to respondents, “Job A” mirrored the respondent’s current or last job as in Mas and Pallais (2017), across all five experiments. We use amenities from respondents’ current job if employed, or most recent job if not. In each experiment, we showed “Job A” side-by-side with “Job B” (Figure B.4). The two jobs differed only in one non-wage attribute and the wage, and were described as involving identical tasks and responsibilities. All job options were presented using neutral framing (Mas and Pallais (2017)), and surveyors did not explicitly point out that “Job A” mirrored respondents’ current or

¹Limitations in publicly available Census data prevent us from comparing employment characteristics across favelas, non-favelas, and Maré. For details on Brazilian favelas and employment barriers in these regions, see Angeli, Matavelli and Secco (2023) and Ferreira, Monge-Naranjo and Pereira (2025).

last job. Respondents were also informed that their answers were anonymous. Finally, to ensure that even very large valuations would be within the support of our experimentally-assigned wage differences, we used a large wage difference span, uniformly distributed from -30% to +30%.²

3 Results

We present four findings about *favela* residents' preferences over employment arrangements based on open-text responses and experimental data from our discrete choice experiments.

Finding 1: Formal employment benefits, learning opportunities, schedule flexibility, and adequate pay are the attributes most frequently highlighted by workers. When describing what they value most in a job, benefits such as health insurance and meal vouchers emerge as the top attribute (31.3%), followed by learning and professional growth opportunities (21.4%) and good pay (17.7%) (Figure 1a). Frequently mentioned terms include “learning,” “experience,” “benefits,” “health,” “insurance,” “salary,” “growth,” “knowledge,” and “development” (Figure B.1a). A similar pattern appears when workers describe their dream job, with adequate pay (45.7%), working in a desired profession or field (31.7%), schedule flexibility (19.1%), and formal benefits (18.7%) among the most frequently mentioned attributes (Figure 1b). Frequently mentioned terms include “salary,” “schedule,” “voucher,” “food,” “stability,” “health,” “benefits,” and “flexible” (Figure B.1b). Only 8 respondents mention characteristics related to intangible attributes, such as “helping others.”

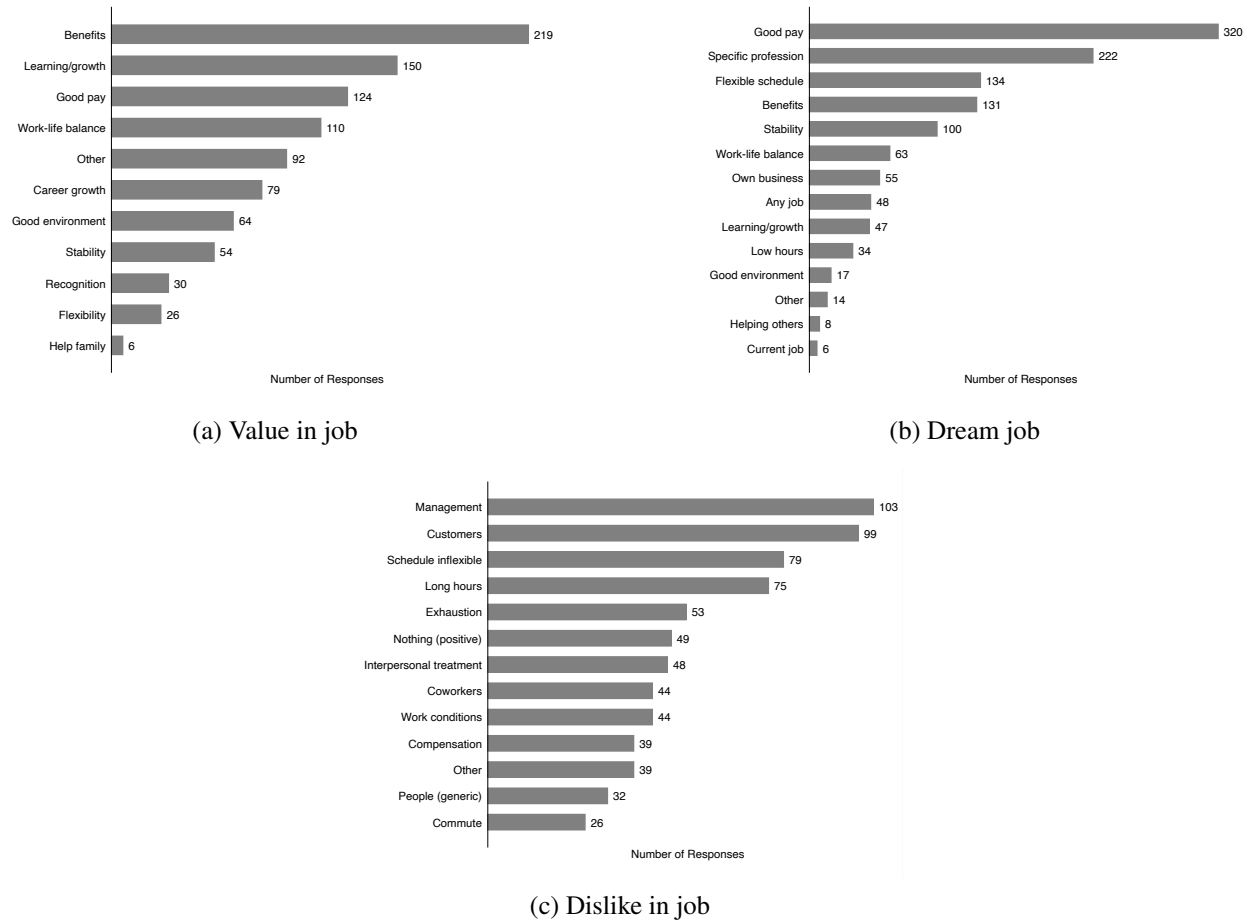
Finding 2: Workers' primary complaints about their jobs center on dealing with difficult clients or colleagues, schedules, and workload. Figure 1c shows that management and organizational problems are the top complaint (16.3%), including poor management, lack of support, being assigned multiple job functions, and poor communication. Difficult customers, clients, or patients ranked second at 15.7%, followed by inflexible schedules at 12.5%. Excessive work hours appeared in 11.9% of responses, while physical and mental exhaustion was mentioned by 8.4%. Notably, direct complaints about compensation appeared in only 6.2% of responses. Consistent with these patterns, the most frequently mentioned terms in the word cloud include “schedule,” “clients,” “workload,” “hours,” and “people.” (Figure B.1c).

Finding 3: High willingness to pay for some amenities, none for others. We present estimates of three valuation measures—relative monetary value, willingness to pay, and willingness to accept—for each amenity in Table 1.³ While all amenities carry monetary value (column 1), we find high willingness to pay for some, but none for others (column 2). Respondents are willing to pay up to 24.8% of their wages to obtain unemployment insurance, 20.7% for parental leave, and 23.2% for learning opportunity. But we find near-zero and statistically insignificant willingness to pay for either termination notice or shorter commutes. Patterns are similar for those currently employed (Table A.3).

²We increased that range to [-60%, +60%] near the end of data collection upon noticing that a substantial share of respondents always chose the same option; we collected 78 observations under the expanded range.

³Appendix D defines these measures, show how they relate to respondents' preference parameters for amenities, and describes how we estimate them. The experimental variation we use to identify each preference parameter is shown in Figures B.2 and B.3.

Figure 1: Frequency distribution of open-text response categories



Note: Panel (a) shows the frequency of responses to “Besides salary, what else do you look for in a job?” (N = 700). Panel (b) shows the frequency of responses to “What would your dream job have or offer you?” (N = 700). Panel (c) shows the frequency of responses to “What did you like least about your most recent job?” (N = 631).

Table 1: Willingness to pay for and willingness to accept to forgo job amenities

	Within-respondent					
	Has or had amenity? (0/1)			Has or had amenity? (0/1)		
	(1) RMV_{a^*}	(2) WTP_{a^*}	(3) WTA_{a^*}	(4) RMV_{a^*/a^0}	(5) WTP_{a^*/a^0}	(6) WTA_{a^*/a^0}
Unemployment insurance	0.323*** (0.0233)	0.248*** (0.0351)	0.447*** (0.0438)	0.188*** (0.0303)	0.281*** (0.0478)	0.420*** (0.0448)
Parental leave	0.243*** (0.0226)	0.207*** (0.0370)	0.279*** (0.0308)	0.113*** (0.0315)	0.253*** (0.0488)	0.292*** (0.0374)
Termination notice	0.168*** (0.0208)	0.00515 (0.0523)	0.309*** (0.0347)	0.0365 (0.0328)	0.0780 (0.0594)	0.318*** (0.0405)
Learning opportunity	0.266*** (0.0220)	0.232*** (0.0363)	0.297*** (0.0324)	0.136*** (0.0307)	0.295*** (0.0455)	0.296*** (0.0375)
Shorter commute	0.146*** (0.0244)	-0.0479 (0.0573)	0.223*** (0.0312)	-	-	0.242*** (0.0408)
Respondent FE	No	No	No	Yes	Yes	Yes
Observations	1980	1980	1980	1980	1980	1980

Note: This table shows estimates of relative monetary values (RMV), willingness to pay (WTP) for, and willingness to accept (WTA) to forgo job amenities. All estimates are expressed as percent of the wage for a job without the respective amenity. An observation is a respondent $\times$ amenity experiment pair. The sample excludes respondents who never worked, always-takers (i.e., respondents who chose always the job with amenity across all five amenity experiments) and never-takers (i.e., respondents who never chose the job with amenity across all five amenity experiments). We use amenities from respondents' current job if employed, or most recent job if not. See Table A.3 for results for the sub-sample of respondents currently working. RMV for each amenity in column (1) is the monetary value of the amenity, relative to the wage of job without the amenity. WTP for each amenity in column (2) is the percent wage cut respondents who do not have the amenity in their current job would be willing to pay to receive the amenity. WTA for each amenity in column (3) is the percent wage increase respondents who have the amenity in their current job would be willing to accept to lose the amenity. Estimates in column (1) are based on preference parameters from a logit regression where the outcome variable is a dummy for whether the respondent chose the job with the amenity, and the explanatory variables are the random log wage gap (wage gap = wage of job with amenity / wage of job without it), and five amenity dummies. Estimates for columns (2) and (3) are based on preference parameters from a single logit regression, where the random log wage gap and all amenity dummies are interacted with a dummy indicating whether the respondent has the respective amenity in their current job. Estimates for columns (4)-(6) add respondent fixed effects to the respective specifications in (1)-(3). See Appendix D for details. A visual display for the experimental variation underlying estimates in column (1) is shown Appendix Figure B.2 and that of columns (2)-(3) is shown in Appendix Figure B.3. Standard errors are obtained by cluster bootstrap at the respondent level (1,000 replications). * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

Finding 4: Larger willingness to accept to forgo (than willingness to pay for) any one amenity. Table 1 shows systematically larger willingness to accept to forgo job amenities (column 3) than willingness to pay for them (column 2). For example, respondents would require a 44.7% wage increase to forgo unemployment insurance, 30.9% to forgo termination notice, and 22.3% to accept a longer commute, the largest gaps we see relative to willingness to pay for the same amenities. These gaps persist conditional on respondent fixed effects (columns 5-6), and are consistent with either endowment effects or with workers sorting into jobs based on their preferences for amenities.

4 Discussion

We document employment preferences of workers at the margin of informality using open-text questions and discrete choice experiments in Brazil's largest favela complex. Workers have high willingness to pay for unemployment insurance, parental leave, and learning opportunities, but none for termination notice or shorter commutes. This suggests that formal sector jobs may bundle amenities in ways that do not fully align with workers' valuations. Moreover, large gaps between willingness to accept and willingness to pay suggest either endowment effects or preference-based sorting. These findings warrant further research into the supply

side of informality.

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A Online Appendix A: Supplementary Tables

Table A.1: Rio de Janeiro summary statistics (2010 Census)

	Non-Favela	Favela	Maré
Population	4,888,663	1,391,953	129,715
Literacy Share	0.92	0.84	0.83
White Population Share	0.57	0.33	0.38
Income Per Capita (in 2010 Brazilian Reais)	1376.35	382.87	395.38

Note: This table shows summary statistics for neighborhoods in the city of Rio de Janeiro from the 2010 Brazilian Census. Favelas are neighborhoods defined as subnormal agglomerates (*aglomerados subnormais*) in the census classification. *Non-Favela* comprises all other census tracts. *Maré* comprises the favela complex where we collected the data for this study.

Table A.2: Maré survey summary statistics (September-November 2025)

	Full Sample		Discrete Choice Sample	
	Mean	SD	Mean	SD
Female (0/1)	0.76	0.43	0.77	0.42
Age	23.82	3.74	23.90	3.74
High School (0/1)	0.65	0.48	0.64	0.48
Born in Maré (0/1)	0.74	0.44	0.74	0.44
Black and mixed race (0/1)	0.75	0.43	0.74	0.44
Has Children (0/1)	0.56	0.50	0.56	0.50
Working (0/1)	0.61	0.49	0.62	0.49
Formal Worker (0/1)	0.29	0.45	0.29	0.46
Informal Worker (0/1)	0.18	0.38	0.18	0.39
Self-Employed (0/1)	0.14	0.34	0.14	0.35
Unemployed (0/1)	0.39	0.49	0.38	0.49
Never Worked (0/1)	0.10	0.30	0.10	0.30
Searching for Job (0/1)	0.52	0.50	0.51	0.50
Reservation Wage (R\$)	1606.46	1123.63	1625.27	1173.26
Monthly Income (R\$)	1573.95	818.89	1596.79	828.09
Receives Cash Transfer (0/1)	0.19	0.40	0.20	0.40
Observations	700		649	

Note: This table shows summary statistics for our survey of N=700 respondents in Maré conducted between September-November 2025. The *Discrete Choice* sample excludes 51 observations due to a coding error in the discrete choice questions.

Table A.3: Amentiy valuations for those who ever worked versus for those currently working

	Working or previously worked			Working		
	Has or had amenity? (0/1)			Has or had amenity? (0/1)		
	(1)	(2)	(3)	(4)	(5)	(6)
	RMV_{a^*}	WTP_{a^*}	WTA_{a^*}	RMV_{a^*/a^0}	WTP_{a^*/a^0}	WTA_{a^*/a^0}
Unemployment insurance	0.323*** (0.0233)	0.248*** (0.0351)	0.447*** (0.0438)	0.304*** (0.0245)	0.230*** (0.0364)	0.394*** (0.0416)
Parental leave	0.243*** (0.0226)	0.207*** (0.0370)	0.279*** (0.0308)	0.229*** (0.0235)	0.192*** (0.0388)	0.252*** (0.0302)
Termination notice	0.168*** (0.0208)	0.00515 (0.0523)	0.309*** (0.0347)	0.179*** (0.0223)	0.0380 (0.0520)	0.284*** (0.0349)
Learning opportunity	0.266*** (0.0220)	0.232*** (0.0363)	0.297*** (0.0324)	0.230*** (0.0234)	0.164*** (0.0410)	0.270*** (0.0319)
Shorter commute	0.146*** (0.0244)	-0.0479 (0.0573)	0.223*** (0.0312)	0.157*** (0.0265)	-0.0157 (0.0569)	0.222*** (0.0327)
Observations	1980	1980	1980	1380	1380	1380

Note: This table shows estimates of relative monetary values (RMV), willingness to pay (WTP) for, and willingness to accept (WTA) to forgo job amenities for different sub-samples. Columns (1)-(3) replicate the estimates in Table 1, which excludues respondents who never worked. Column (4)-(6) show results for respondents who are currently employed. See footnotes to Table 1 for definitions and details. Standard errors are obtained by cluster bootstrap at the respondent level (1,000 replications). * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

Table A.4: What Respondents Value Most in a Job (N=700)

Category	Description	Example Response	N (%)
Benefits	Formal employment benefits (food voucher, health insurance, transportation)	"Health insurance coverage for me and my family" "Having a formal contract with worker protections"	219 (31.3)
Learning/growth	Opportunities for learning, gaining experience, and personal development	"Learning new skills and gaining experience" "Gaining knowledge and developing myself"	150 (21.4)
Good pay	Adequate salary, income, or financial independence	"Just the salary itself is most important" "Financial independence and good income"	124 (17.7)
Work-life balance	Quality of life, reasonable hours, time management, peace	"Quality of life and work-life balance" "Few hours so I have time for my family"	110 (15.7)
Other	Miscellaneous values that don't fit other categories	"Just having any job is what matters" "Being able to maintain myself is enough"	92 (13.1)
Career growth	Professional advancement opportunities, career trajectory, promotions	"Professional growth within the company" "Growing inside the organization over time"	79 (11.3)
Good environment	Positive work atmosphere, respect, organization, good colleagues	"A good work environment with pleasant people" "Working with a good team of colleagues"	64 (9.1)
Stability	Job security and employment stability	"Stability and security in my position" "Knowing I have stable employment"	54 (7.7)
Recognition	Recognition of work, respect, feeling valued	"Recognition for my work contributions" "Being valued for what I do at work"	30 (4.3)
Flexibility	Schedule flexibility, accessibility, easy access	"Flexibility in my work schedule" "Having some flexibility in how I work"	26 (3.7)
Help family	Ability to help and support family members	"Being able to help out at home financially" "Supporting my daughter with what she needs"	6 (0.9)

This table shows the categories and example responses for the open-text question "What do you value most in a job?" Categories are not mutually exclusive; respondents could mention multiple values. All 700 respondents provided answers. Examples are English translations of Portuguese responses.

Table A.5: Dream Job Attributes (N=700)

Category	Description	Example Response	N (%)
Good pay	Good salary level, remuneration, ability to support family (excluding "fixed salary" which indicates stability)	"A good salary that allows me to live comfortably" "To earn well and support my family's needs"	320 (45.7)
Specific profession	Mentions a specific job, occupation, or professional field	"I would like to work as a doctor in healthcare" "To be a chef in the kitchen, which I love"	222 (31.7)
Flexible schedule	Flexible hours, Monday-Friday schedule, no weekends, ability to choose shifts	"Flexible schedule so I can manage my time" "Working Monday to Friday without weekends"	134 (19.1)
Benefits	Formal employment benefits (food voucher, health insurance, signed contract)	"Food voucher and health insurance coverage" "Benefits like transportation voucher and dental plan"	131 (18.7)
Stability	Job security, employment stability, "fixed salary"	"Job stability and security for the future" "A fixed salary I can count on every month"	100 (14.3)
Work-life balance	Time with family, quality of life, comfortable location, peace	"Quality of life and time for my personal life" "More time to spend with my children"	63 (9.0)
Own business	Working for oneself, having own business or being independent	"To work for myself and have my own business" "Being independent and working on my own"	55 (7.9)
Any job	Just wants any employment without specific requirements	"Any job would work for me right now" "I just need a job, any job is fine"	48 (6.9)
Learning/growth	Opportunities to learn and grow within the job (not studying for a profession)	"Growth opportunities within the company" "Opportunities for professional development"	47 (6.7)
Low hours	Reduced total working hours, not wanting long workdays	"Few hours of work per day, not too many" "Not having to work long hours every day"	34 (4.9)
Good environment	Positive work atmosphere, recognition, respect, good teamwork	"A good work environment with nice people" "Recognition and respect for my contributions"	17 (2.4)
Other	Miscellaneous responses including purpose, satisfaction, or unclear	"A sense of purpose in what I do" "Prosperity and visibility in my field"	14 (2.0)
Helping others	Social impact, helping people, care work	"To help people who need assistance" "Saving lives through my profession"	8 (1.1)
Current job	Already satisfied with current employment	"This is already my dream job" "I struggled to get this job and it's perfect"	6 (0.9)

This table shows the categories and example responses for the open-text question "What would your dream job offer you?" Categories are not mutually exclusive; respondents could mention multiple attributes (54.7% mentioned two or more). All 700 respondents provided answers. Examples are English translations of Portuguese responses.

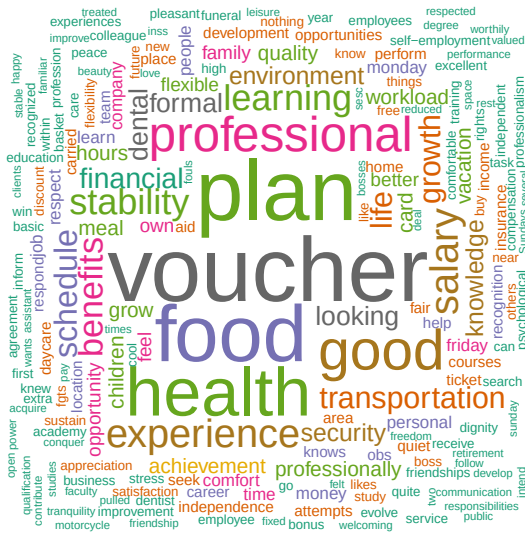
Table A.6: Worst Aspects of Work (N=631)

Category	Description	Example Response	N (%)
Management	Boss/supervisor issues AND organizational problems (multiple functions, lack of support, excessive demands)	"Bad management by coordinators with accumulation of job functions" "Complete lack of dialogue and communication with supervisors"	103 (16.3)
Customers	Difficult customers, clients, patients, or dealing with the public	"Annoying and difficult customers every day" "Difficult patients who don't follow medical advice"	99 (15.7)
Schedule inflexible	Working weekends, holidays, nights, early mornings, or irregular schedules	"Having to work on weekends and holidays" "The 6x1 schedule with only one day off per week"	79 (12.5)
Long hours	Excessive work hours, overtime, or very long shifts	"The workload was extremely high with too many hours" "Constant overtime and extra hours beyond my shift"	75 (11.9)
Exhaustion	Physical and mental demands, stress, heavy workload	"Physical and mental exhaustion from the job demands" "Heavy lifting and physical effort all day long"	53 (8.4)
Nothing (positive)	Positive responses indicating satisfaction with job	"I like everything about my job" "I love my job and wouldn't change anything"	49 (7.8)
Interpersonal treatment	Mistreatment, discrimination, lack of respect, toxic environment	"Lack of respect from supervisors and management" "I experienced racism and discrimination at work"	48 (7.6)
Coworkers	Issues with colleagues, team dynamics, workplace conflicts	"Problems with coworkers who didn't cooperate" "Cliques and exclusive groups that excluded others"	44 (7.0)
Work conditions	Physical environment (noise, standing, weather), or specific disliked tasks	"Standing for long periods of time all day" "Having to clean bathrooms and dirty facilities"	44 (7.0)
Compensation	Low salary level, late payments, or lack of benefits	"The salary was far too low for the work required" "Payment was always delayed by weeks"	39 (6.2)
Other	Job instability, lack of formal contract, and miscellaneous concerns	"Not having a formal employment contract signed" "The instability and lack of security in the position"	39 (6.2)
People (generic)	Generic complaints about "people" without specifying who	"The people I had to deal with" "Having to deal with people"	32 (5.1)
Commute	Distance to work, transportation issues, or traffic	"Was too far from my home" "Spending many hours on public transportation"	26 (4.1)

This table shows the categories and example responses for the open-text question "What did you like least about your most recent job?" Categories are not mutually exclusive; respondents could mention multiple aspects (19.5% mentioned two or more). Percentages are calculated among 631 non-null responses. Examples are English translations of Portuguese responses.

B Online Appendix B: Supplementary Figures

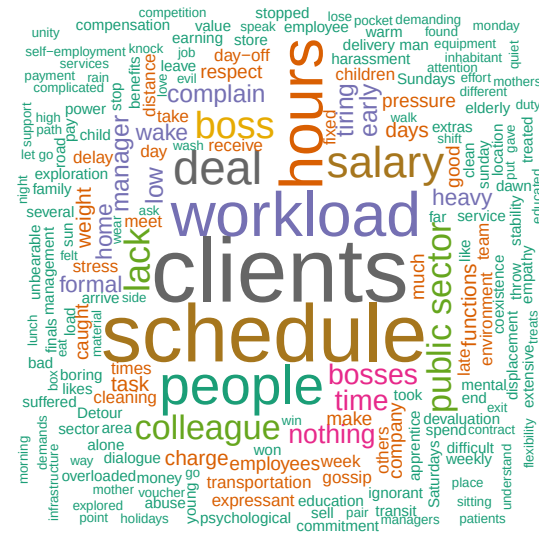
Figure B.1: Open-text responses world clouds



(a) Value in job



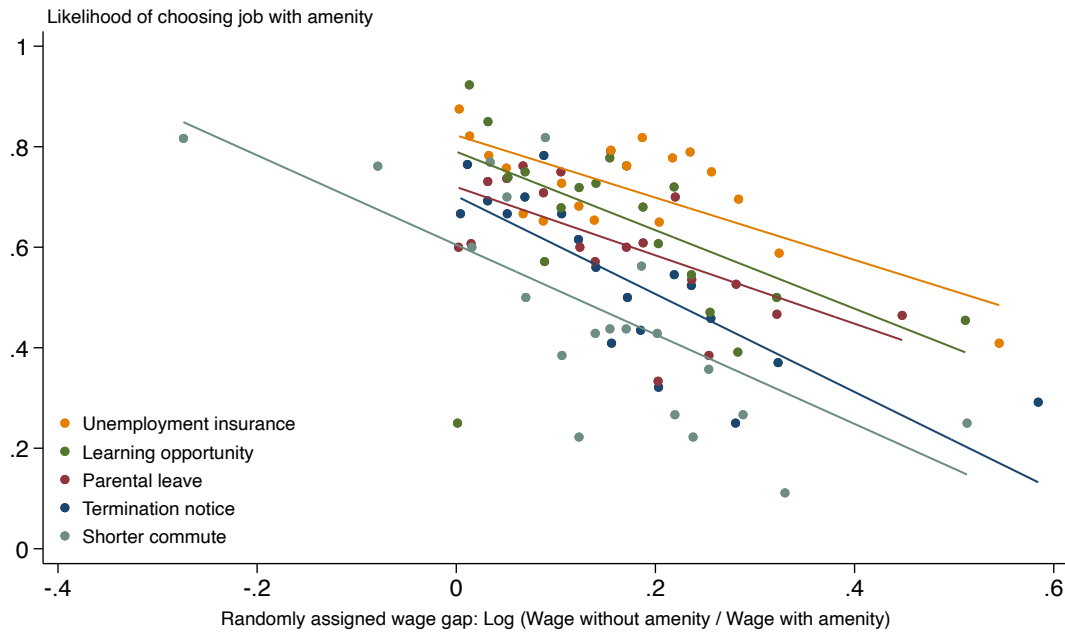
(b) Dream job



(c) Dislike in job

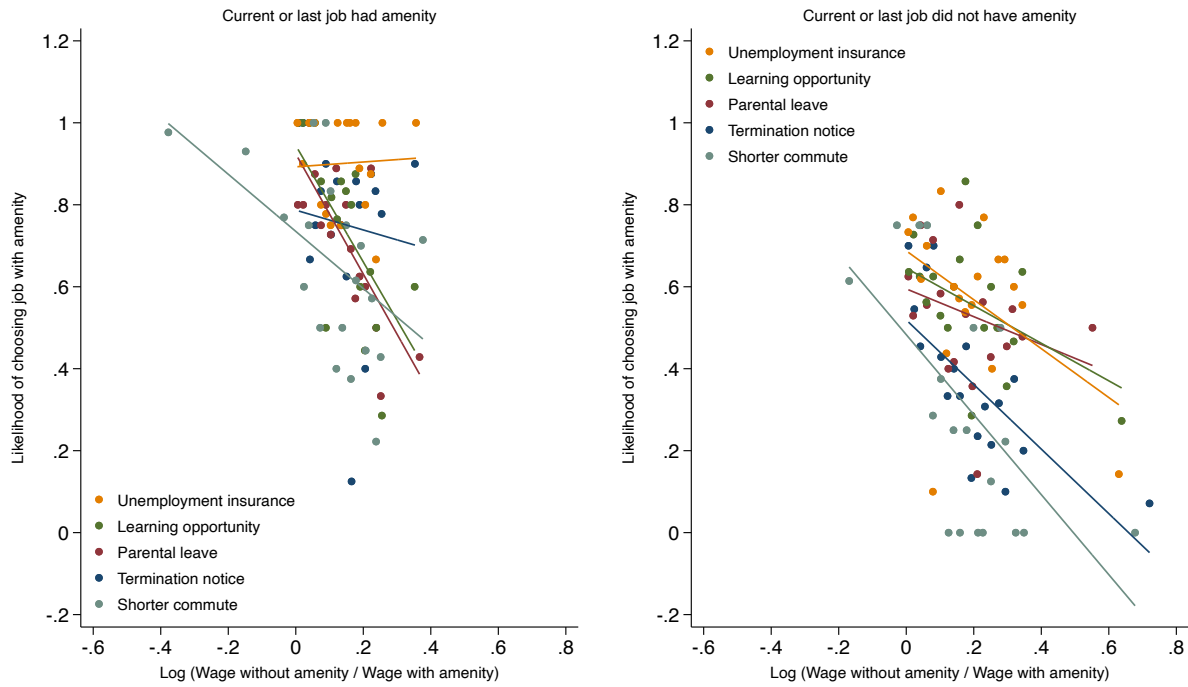
Note: This figure presents word clouds constructed from responses to the following questions: “Besides salary, what else do you look for in a job?” (N = 700; Panel a); “What would your dream job have or offer you?” (N = 700; Panel b); and “What did you like least about your most recent job?” (N = 631; Panel c). Word size reflects the frequency of each term.

Figure B.2: Demand for job amenities



Note: This figure plots binned scatters, separately for each amenity experiment, of a dummy indicating if a respondent chooses the job option with the amenity in the experiment (y-axis) and the randomly assigned wage gap, reported as the log difference between the job with amenity and the job without. The sample excludes respondents who never worked, always-takers (i.e., respondents who chose always the job with amenity across all five amenity experiments) and never-takers (i.e., respondents who never chose the job with amenity across all five amenity experiments).

Figure B.3: Demand for amenities separately by whether current or last job had amenity



Note: This figure replicates Figure B.2 separately for whether respondents has each amenity in their current job or had it in their last, if currently not working. We find similar patterns for the sample of currently employed.

Figure B.4: Discrete choice experiment screen: Example for *termination notice*

The jobs below are identical, except for salary and termination notice.

Carefully analyze the information below and indicate whether you would prefer job A or job B.

	Job A	Job B
Total monthly salary	R\$ 2200.00	R\$ 2174.30
Unemployment insurance	No	No
Commute time	I don't commute (work from home)	I don't commute (work from home)
Termination notice	No	Yes
Maternity leave (4 months)/ Paternity leave (5 consecutive days)	No	No
Learning opportunity	No	No

Remembering that termination notice is when the employer communicates in advance to the employee about the intention to terminate the employment relationship.

☐ I prefer job A

☐ I prefer job B

Note: This figure shows an example screen from the discrete choice experiment for termination notice. Respondents chose between two hypothetical jobs with identical tasks and responsibilities. Job A mirrored the respondent's current or most recent job across all attributes. Job B differed from Job A only in termination notice (highlighted in bold) and in salary. The salary difference between Job A and Job B was randomly drawn from a uniform distribution ranging from –30% to +30% of Job A's salary. Starting November 19, 2025, we expanded this range to –60% to +60% to better capture higher valuations, affecting 78 observations. Surveyors handed tablets directly to respondents, who selected their preferred job privately to minimize social desirability bias.

C Online Appendix C: Survey Details

Survey. Our survey has four blocks. First, we collect detailed employment history, including current employment status, formality status, occupation, wages, hours worked, commute time, and job benefits. For those not currently employed, we ask about their most recent job, and for those who have never worked, their reservation wages. Second, we administer comprehensive open-ended questions about job aspirations and preferences. These questions capture respondents’ dream job characteristics, what they value most in jobs beyond wages, difficult aspects of work, reasons for job transitions, and barriers to desired employment. We also ask respondents to rank eight job amenities by importance (benefits, remuneration, work location, payment method, work environment, contract type, work schedule, and initiative/autonomy) and assess their knowledge of formal employment benefits. Third, we implement a discrete choice experiment to elicit the willingness to pay for job amenities. Fourth, we collect demographic and socioeconomic information, including age, gender, race, place of birth, education, whether they have children, and receipt of government transfers. Participants entered a prize draw for one of five R\$200 prizes ($\approx$ USD40) as compensation for their time.

We recruited and trained surveyors from the local community, who administered our door-to-door survey. This approach minimizes inattention and ensures respondents understand the questions. The surveyors received training on survey implementation and strategies to mitigate social desirability bias or experimenter demand effects. They provided neutral instructions and informed respondents only that the study concerned job preferences of young people in Brazil without emphasizing specific hypotheses. During the discrete choice module, the surveyors handed the tablet directly to respondents, allowing them to provide their answers privately. This procedure promotes anonymous decision-making and reduces concerns about surveyor observation or evaluation. We did not inform surveyors about the study’s hypotheses or expected effects, further limiting the scope for experimenter demand effects.

Coding of open-ended questions. We employed AI-assisted qualitative coding to analyze the open-text questions. We used Claude AI (Anthropic, Sonnet 4.5) with extensive human oversight and iterative refinement. This approach combined the efficiency of automated text analysis with the nuance and domain expertise of human judgment. Tables A.6 through A.4 present detailed category definitions, example responses, and frequencies for each variable. After the initial coding round, we reviewed frequency distributions to identify over- or under-represented categories and examined random samples of coded responses per category to check accuracy. When we identified miscoded responses, we provided explicit corrections to the AI engine for any miscategorizations (e.g., “Response X should be coded as Y, not Z” or “Split category A into sub-categories A1 and A2 based on this distinction”). The final coding achieved coverage rates of 86.9%-98.0% across variables, with only 2.0%-13.1% of responses categorized as “Other.” Responses could be assigned to multiple categories, as they often mentioned several aspects in a single open-text answer.

Attention sample. To ensure that our amenity valuation estimates are not biased by inattention, estimates

in Table 1 are based on the 434 respondents (67% of the sample) who sometimes chose the option with the amenity, sometimes the option without it. We refer to these as “switchers”, in contrast with those who always choose the job with the amenity (“always takers”) and those who always choose the job without it (“never takers”). Our rationale is that switchers pay close attention to the wage differentials. Switchers’ demographic composition and distribution across employment sectors is nearly identical to the overall sample: 30% are in formal wage work, 19% in informal wage work, 15% self-employed, and 36% unemployed. On demographics, 74% are women, 72% are Black.⁴

⁴The corresponding stats for the full sample are: 29% are in formal wage work, 18% in informal wage work, 14% self-employed, 38% unemployed, 77% women, 74% Black. All valuations are larger in the full sample than in the attention sample, as expected

D Online Appendix D: Theory and estimation

Preferences. Respondent i derives indirect utility V_j^i over job j considered by her, which features wage w_j , amenity bundle Γ_j , and idiosyncratic taste ξ_j^i . Respondents derive log indirect utility $\beta \ln w_j$ from job j 's wage, and indirect utility δ_a from each amenity a included in job j 's amenity bundle:

$$V_j^i = \beta \ln w_j + \sum_{a \in \Gamma_j} \delta_a \times (k_{aj} = 1) + \xi_j^i \quad (1)$$

Probability of choosing job with amenity. Idiosyncratic taste parameters ξ_j^i are drawn i.i.d. from a Type-I Extreme Value distribution. Consider two jobs that differ only in one amenity a^* and wages. Let a^* denote the experiment to value amenity a , j^1 the job that has the amenity, and j^0 the job that does not, such that $k_{a^*j^1} = 1$ and $k_{a^*j^0} = 0$. Then the probability that respondents choose job j^1 is:

$$P(V_{j^1} > V_{j^0}) = \frac{\exp[\beta \ln(w_{j^1}/w_{j^0}) + \delta_{a^*}]}{1 + \exp[\beta \ln(w_{j^1}/w_{j^0}) + \delta_{a^*}]} \quad (2)$$

Logit regression. Equation 2 specifies our logit regression on a sample of respondent $\times$ experiment pairs with five experiments per respondent, one for each amenity. The outcome variable is a dummy for whether the respondent chose the job with the amenity in the amenity's respective experiment. The dependent variables are $\ln(w_{j^1}/w_{j^0})$ – which we randomize, identifying slope β – and five amenity dummies, whose order is also random, and which identify five δ_a intercepts. The preference parameters for this regression inform the valuation estimates in column (1) of Table 1.

Indifference condition. Consider two jobs that offer the same amenities except one, a^* , and offer different wages. Let j^1 denote the job that has amenity a^* , and j^0 the job that does not, such that $k_{a^*j^1} = 1$ and $k_{a^*j^0} = 0$. Solving for the wage ratio that would make respondent i indifferent between the two jobs, and noting that $\mathbb{E}[\xi_{j^0}^i - \xi_{j^1}^i] = 0$ in the population, gives:

$$\ln(w_{j^1}/w_{j^0}) = -\delta_{a^*}/\beta \quad (3)$$

Relative Monetary Value. Following [Maestas et al. \(2023\)](#), let MV_{a^*} be the value, in Brazilian reais, that makes respondents indifferent between a job with amenity a that pays $w_{j^1} = w_{j^0} - MV_{a^*}$ and a job that does not have amenity a^* and pays $w_{j^0} = w_{j^1} + MV_{a^*}$.⁵ To facilitate comparisons with willingness to pay and to accept, we express MV_{a^*} relative to the wage of the job without a^* :

$$RMV_{a^*} \equiv MV_{a^*}/w_{j^0} = 1 - \exp(-\delta_{a^*}/\beta). \quad (4)$$

Willingness to pay and to accept. Equation 1 assumes that respondents value amenities equally regardless of whether they already have them. In this case, RMV_{a^*} equals respondents' willingness to pay (WTP_{a^*}) in forgone

⁵Solve for MV in $\ln[(w_{j^0} - MV_{a^*})/w_{j^0}] = -\delta_{a^*}/\beta$. This is the “wage-increase equivalent” in [Maestas et al. \(2023\)](#).

wages to get amenity a^* , and it also equals respondents' willingness to accept (WTA_{a^*}) in extra wages to forgo amenity a^* . However, WTP_{a^*} and WTA_{a^*} need not coincide if there are endowment effects or if respondents sorted into their current jobs based on their preferences for amenities. To test if $WTP_{a^*} = WTA_{a^*}$, we re-estimate the preference parameters in equation 2 interacting the random wage gap and the amenity dummies with indicators for whether the respondent has the amenity in their current job. This interacted specification gives the preference parameters for columns (2)-(3) of Table 1. Columns (5)-(6) estimate this interacted regression conditional on respondent fixed effects and omitting those without shorter commutes as the omitted category.